



German Defense: An Ecosystem in Transformation

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This is the first section of a report available to clients via our Deutsche Bank Research site [here](#).

Launching Private Company Analysis with the German Defense Sector

Traditional analysis that focused on public companies overlooked a critical market segment: the many important competitors that are privately owned, typically by families or private equity firms. To address this, we are launching dedicated coverage of Europe's private-market giants, starting with Germany, where a traditionally dominant private sector means large firms outnumber public ones almost two to one. We begin with the German defense sector, where understanding the private ecosystem is essential: it is the source of critical innovation, the solution to supply-chain issues, and the venue for a future wave of M&A, consolidation, and IPOs.

From Incremental Modernization to Industrial Scaling

Germany's defense landscape is undergoing its most significant transformation in decades, shifting from a paradigm of 'incremental modernization' to 'industrial scaling'. Triggered by the Zeitenwende in 2022, the new era is underpinned by substantial financial commitments, including a €100bn special fund and constitutional reforms enabling sustained long-term spending. The objective is no longer merely to fill discrete capability gaps but to execute a full 'ecosystem build-out' that addresses structural choke points and enhances industrial capacity. This transformation is creating a more resilient and scalable German Defense Industrial Base (DIB), prepared to meet surging domestic and European demand.

Technology, Integration, and the Rise of New Players

This strategic pivot is also reshaping the industrial and technological environment. EU initiatives (EDF, EDIRPA, ASAP) are fostering joint funding and integrated supply chains, while the market is experiencing a 'next wave' of technological change, with a clear shift in value towards drones, software-defined systems, electronic warfare, and AI-driven capabilities. These dynamics force industry consolidation but also create openings for agile start-ups, which are vital for innovation, as speed and software become paramount. This report provides an in-depth primer on this evolving sector. We identify Germany's industrial strengths and technology gaps, analyze the key private players poised to benefit, and examine the structural themes shaping the market - from funding dynamics and procurement reforms to technology roadmaps.

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Half the Industry is Invisible

We are Changing that.

Equity research has always looked at the listed half of the economy. That half is shrinking. Companies stay private for longer, the largest capital pools are now private, and in Germany the listed universe was never the industry to begin with. **There are roughly 120 listed German companies with sales above €1bn - and roughly 200 unlisted ones.** In our home market, large private companies outnumber public ones almost two to one.

That gap is not a curiosity. It is an analytical problem.

If a sector's innovation, its supply-chain frictions, its pricing behavior and its eventual consolidation sit largely outside the listed universe, then covering only the listed names means covering only part of the argument. With this report we start closing that gap. We are launching dedicated, ongoing coverage of Europe's private-market giants, beginning in Germany.

Why we are starting with German defense

Defense is the sharpest version of the problem we are trying to solve. Germany is in the middle of its largest rearmament cycle since reunification, but much of the capability being bought is not primarily produced by the listed defense groups. It is produced by an ecosystem: family-owned system houses that have supplied the Bundeswehr for decades, venture-capital-backed companies that did not exist three years ago, and the tier-2 and tier-3 suppliers who sit on the actual constraints - energetics, seekers, qualified electronics, test capacity, cleared labor. That ecosystem is where the innovation happens, where the supply chain either breaks or scales, and where the next wave of M&A, consolidation and IPOs will take place. Understanding it is not a side-project to covering Rheinmetall, Hensoldt or Renk. It is a prerequisite.

Executive Summary - Eight Points Carry this Report

1. **The spending shift is structural, not cyclical.** The €100bn special fund was the headline; the 2025 constitutional reform exempting defense spending above 1% of GDP from the debt brake was the substance. Government budgets now foresee more than €150bn of annual defense spending by 2029, against roughly €52bn of core budget in 2024. NATO's 2025 pledge of 3.5% of GDP on core defense by 2035 puts a floor under the back-end.
2. **Budgets are not revenue.** Between an approved budget and a delivered capability sit parliamentary approval for anything above €25m, tender design, contracting, qualification, test capacity and acceptance. The February 2026 procurement acceleration reform helps, but the conversion chain - not demand - sets the delivery slope.
3. **Value is moving to software, autonomy and effects.** Drones, software-defined systems, electronic warfare and AI-enabled decision layers are taking share from platform-centric spend. That favors companies whose iteration cycle is measured in weeks, and it is the clearest reason private and venture-capital-backed firms now sit inside mainstream force design.
4. **Production is deterrence - and production is where Germany is short.** Scaling breaks at specific points: energetics permits, seekers and guidance electronics, qualification burden, specialized labor, and limited



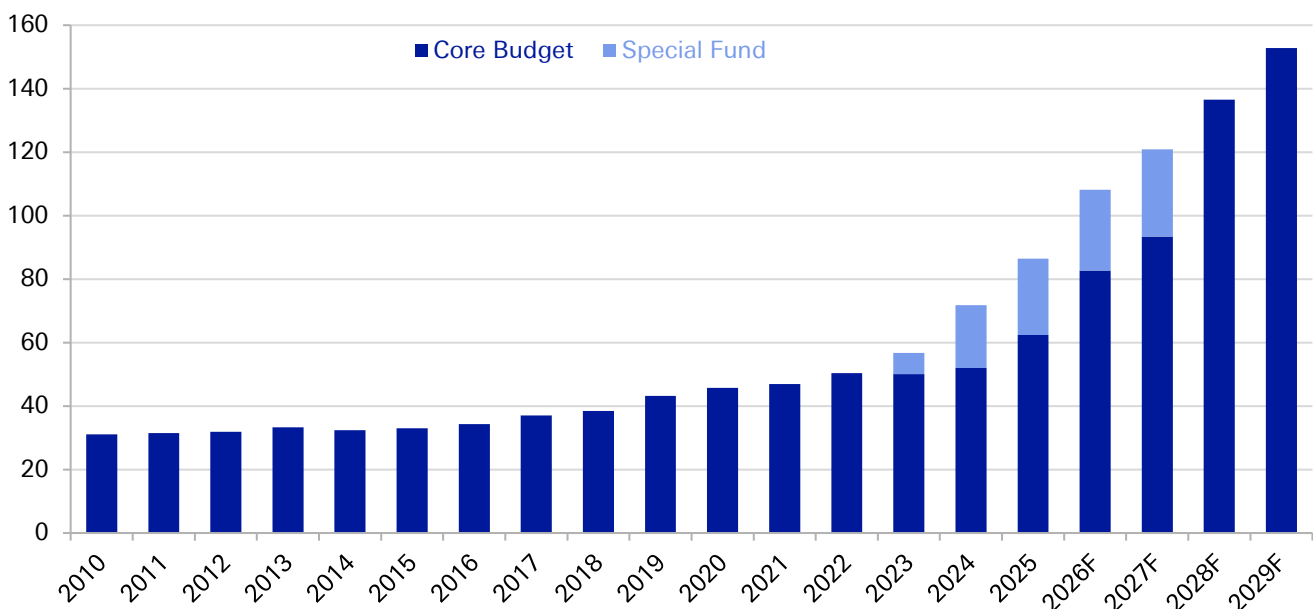
test windows. Almost every one of those nodes is occupied, at least in part, by a private company.

5. **The private ecosystem is now procurement-relevant, not just innovation-relevant.** The February 2026 Bundeswehr loitering-munitions framework, awarded to Helsing and STARK from an initial package of roughly €540m, is the clearest proof point. Sovereign buyers are contracting with companies two to five years old.
6. **Scale still sits with the incumbents.** Diehl generated €5.4bn of sales and €703m of EBIT in FY2025, with Defence at roughly €2.3bn; Rohde & Schwarz passed €3bn of revenue in FY2024/25 with no bank debt. These are not start-ups with a defense angle - they are among Europe's more significant defense industrial assets, and they happen to be family-owned.
7. **A consolidation and financing wave is coming.** Capital intensity is rising precisely as venture-stage companies move from software into hardware and factories. That points to further strategic rounds, industrial partnerships, JV structures, selective M&A and, in time, IPOs. For a bank, this is the most commercially relevant conclusion in the report.
8. **Regulation is the binding constraint, in both directions.** Export licensing, foreign investment screening, NATO interoperability and compliance intensity limit scaling and exits. But policy also accelerates - fast-track procurement, EU joint programs, state-backed vehicles for defense tech.

Why defense, in numbers

The money. Germany's core defense budget has moved from roughly €47bn in 2021 to a projected path above €150bn by 2029, with the €100bn special fund bridging the middle of that ramp. The 2025 debt-brake reform matters more than the fund itself: by exempting defense spending above 1% of GDP, it converts a one-off program into a sustained baseline. Procurement approvals have already responded: 97 major defense projects approved in 2024 against 55 in 2023, with over €58bn allocated.

Figure 1: German defense budget (€bn) - government budgets foresee >€150bn annual spending by the end of the decade

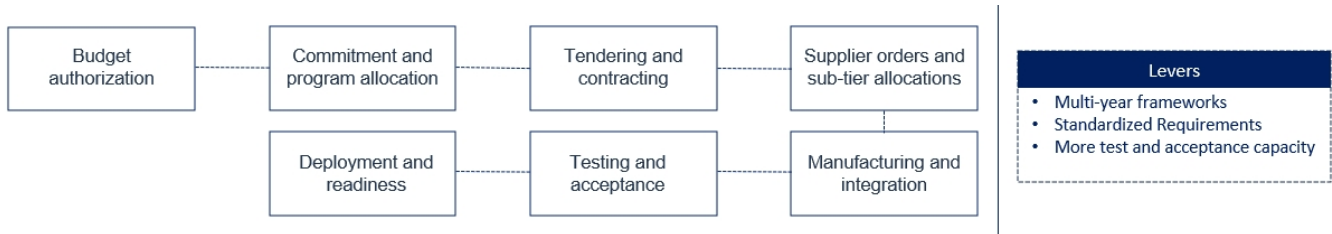


Source : German government, Deutsche Bank research



The conversion chain. What is in doubt is throughput. Contracts above €25m require binding Bundestag budget-committee approval, and tendering, supplier orders, integration, testing and acceptance each add time. Europe's fragmentation compounds it: European states operate around 179 different major weapon systems against 33 in the US, and 19 different main battle tanks against one. Between 2020 and 2024, European arms imports rose 155%, and European NATO members sourced 64% of those imports from the US, up from 52% in 2015-19. Whether 'buy European' becomes policy rather than rhetoric is the single largest swing factor for the domestic industrial base.

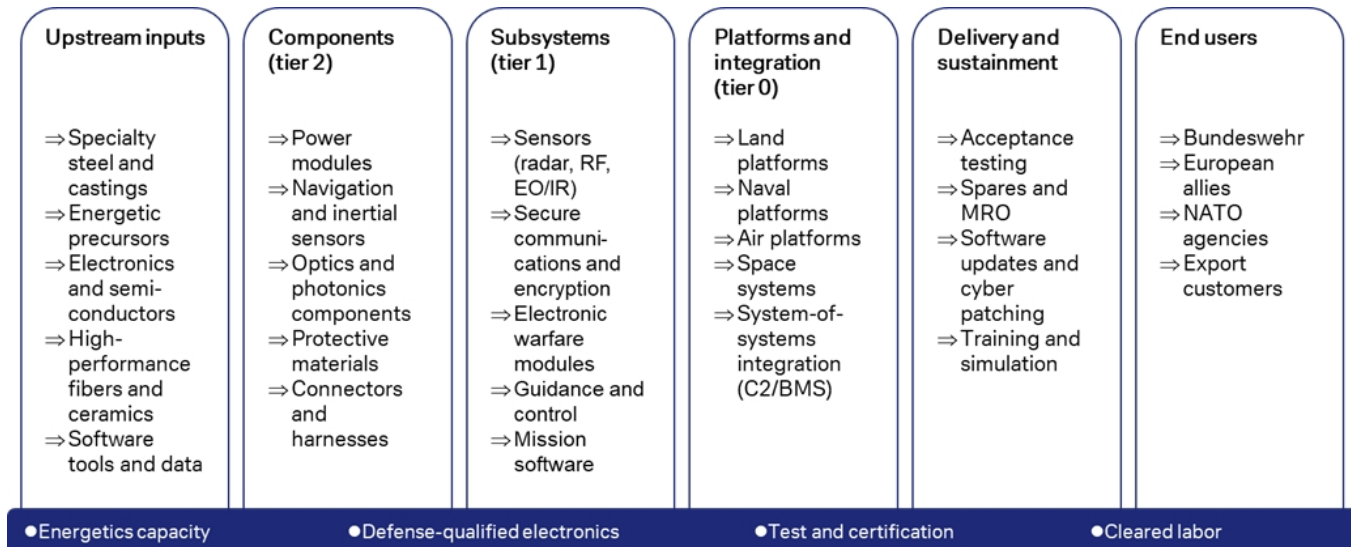
Figure 2: Budget to Output: The Conversion Chain



Source : Deutsche Bank research

Where the private sector sits. The constrained nodes are consistent across almost every program: energetics capacity, defense-qualified electronics, test and certification, and cleared labor. Private companies are disproportionately present in exactly those nodes. Diehl's acquisition of Dynamit Nobel was, in substance, the acquisition of explosives-related operating authorizations it describes as unique in Germany. STARK's dependence on TDW for German-manufactured warheads is the same story one tier down. Rohde & Schwarz occupies the secure-communications and SIGINT/EW layer no platform program can route around.

Figure 3: German Defense Industrial Value Chain

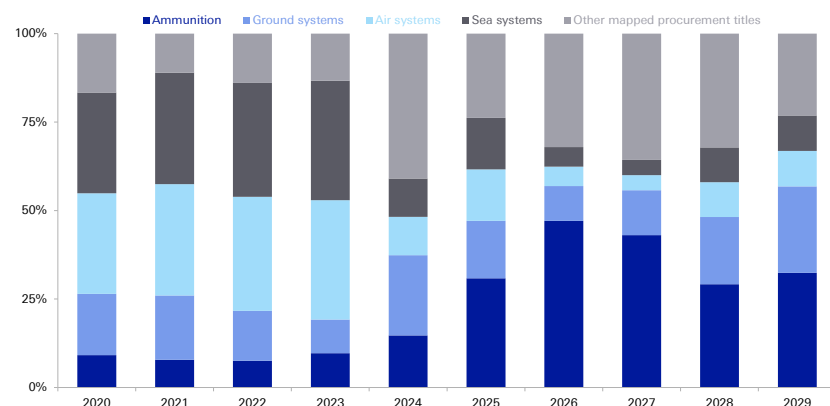


Source : Deutsche Bank research



Where the new money is going. Germany attracted close to €1bn of defense and security venture-capital funding in 2025, second only to the US. The deal mix since 2021: unmanned systems (34 deals), surveillance and space (24), other defense tech (24), electronic warfare (10) and cyber (8). Helsing raised \$1.8bn at an \$18bn valuation in July 2026; STARK Defence raised €500m in June 2026 above €3.5bn. Capital of that scale changes the industrial map.

Figure 4: Spending Percentage of Germany on Equipment by Category



Source : BMVG – Budget

The five debates - and where we go next

1. **Can Germany convert budget into capability fast enough?** Demand is settled; throughput is not. Watch acceptance capacity, qualification timelines and framework design rather than headline budgets.
2. **Do the newcomers industrialize, or stall at the factory door?** Helsing, STARK Defence, ARX Robotics and Quantum Systems are all making the same transition from software and prototypes into serial hardware. That is where defense start-ups historically fail. The next 18 months are the test.
3. **Do incumbents get disrupted, or absorb?** The likelier outcome is a denser partner network - Diehl with Hensoldt and Airbus, Helsing with Saab and Kongsberg, ARX Robotics with RENK and Daimler Truck. Partnership maps are becoming a better guide to competitive position than product catalogs.
4. **Does 'buy European' become real?** A conscious substitution of even part of the 64% US import share would be a structural repricing of the European industrial base. Fragmentation and interoperability standards cut against it.
5. **Who is financed, and how?** Rising capital intensity, thin private disclosure, constrained exit routes under foreign-investment screening, and uneven ESG treatment will all influence the financing and consolidation wave.



The Argument in Five Parts

1. The Strategic Landscape: Russia's 2022 invasion of Ukraine, combined with the distancing of the US as Europe's protector, represents a turning point for the safety of Europe and its defense industry. The shift in policy is creating immense demand across Europe for arms in the decades to come, leading to significant M&A and investing opportunities. German companies are uniquely suited to serve the rising demand due to their immense technical know-how and their already-existing industrial sector. Combined with targeted funding programs, these developments both stimulate existing companies and incentivize start-ups that push the technical frontier forward.

2. New Wars Change the Old Battlefield: Recent wars in Ukraine and the Middle East have reshaped modern warfare, shifting capital from traditional contractors to start-ups that can keep pace with rapid innovation cycles. Key trends defining this new era include: unmanned systems creating a transparent battlefield that demands adaptability; huge munitions consumption proving that production itself is deterrence; the battlespace expanding into commercial space and cyberspace; and societal resilience against disinformation becoming a vital security element. This all occurs amid a new great power competition, heightening the risk of multi-theater wars and the use of nuclear threats to back conventional aggression.

3. How to Gain Exposure – Investment Opportunities in Private Gems: Rapid innovation in modern warfare is creating significant investment opportunities in Germany's defense sector, as start-ups outperform slow, traditional procurement. This operational shift is fueled by a long-term surge in European defense spending targeted at R&D and equipment. Investors can gain exposure through key 'private gems', from established firms like Diehl Group and Rohde & Schwarz to high-growth start-ups like Helsing (AI) and Quantum Systems (drones). These start-ups leverage a mix of venture capital and government grants with innovative business models, making the German private defense market a compelling investment area.

4. Trend – Europe Buys European & Europe Buys between Middle Powers: Recent energy and security shocks have shattered Europe's post-Cold War assumptions, creating an urgent push for strategic self-reliance amid uncertainty over the long-term US security guarantee. This pivot is evident in new security partnerships, such as Germany deepening defense ties in the Indo-Pacific (Japan) and North Atlantic (Canada). Paradoxically, Europe's rearmament has increased its reliance on US hardware (64% of imports '20-'24) and its defense sector remains highly fragmented. The core challenge is whether Europe's quest for autonomy will lead to a 'buy European' policy; doing so would unlock a monumental internal market, driving consolidation and creating a truly independent defense capability.

5. The Regulatory Landscape & Investment Constraints: The defense industry is uniquely constrained and regulated, and investors must understand its landscape. Growth is not driven simply by demand but is filtered through government budgets, procurement laws, and export controls. This creates risks: budgets don't translate to immediate revenue, market access can be denied politically, and production cannot be scaled freely. High compliance costs and national security reviews that limit exit strategies add further complexity. Successful investment, therefore, requires mastering these political and regulatory realities, not just identifying demand.



Appendix 1

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